

|                                                            | <i>Real Estate<br/>Investment Trust</i> | <i>Realty Equities Corp.<br/>of New York</i> |
|------------------------------------------------------------|-----------------------------------------|----------------------------------------------|
| Price, December 31, 1968                                   | 26½                                     | 32½                                          |
| Number of shares of common                                 | 1,423,000                               | 2,311,000 (March '69)                        |
| Market value of common                                     | \$37,800,000                            | \$75,000,000                                 |
| Estimated market value of warrants                         | —                                       | 30,000,000 <sup>a</sup>                      |
| Estimated market value of<br>common and warrants           | —                                       | 105,000,000                                  |
| Debt                                                       | 9,600,000                               | 100,800,000                                  |
| Preferred stock                                            | —                                       | 2,900,000                                    |
| Total capitalization                                       | \$47,400,000                            | \$208,700,000                                |
| Market value per share of<br>common, adjusted for warrants | —                                       | 45 (est.)                                    |
| Book value per share                                       | \$20.85 (Nov.)                          | \$3.41                                       |
|                                                            | November 1968                           | March 1969                                   |
| Revenues                                                   | \$6,281,000                             | \$39,706,000                                 |
| Not for interest                                           | 2,696,000                               | 11,182,000                                   |
| Interest charges                                           | 590,000                                 | 6,684,000                                    |
| Income tax                                                 | 58,000 <sup>b</sup>                     | 2,401,000                                    |
| Preferred dividend                                         | —                                       | 174,000                                      |
| Net for common                                             | 2,048,000                               | 1,943,000                                    |
| Special items                                              | 245,000 cr.                             | 1,896,000 dr.                                |
| Final net for common                                       | 2,293,000                               | 47,000                                       |
| Earned per share before<br>special items                   | \$1.28                                  | \$1.00                                       |
| Earned per share after<br>special items                    | 1.45                                    | .20                                          |
| Dividend on common                                         | 1.20                                    | .30                                          |
| Interest charges earned                                    | 4.6 ×                                   | 1.8 ×                                        |

<sup>a</sup> There were warrants to buy 1,600,000 or more shares at various prices. A listed issue sold at 30½ per warrant.

<sup>b</sup> As a realty trust, this enterprise was not subjected to Federal income tax in 1968.

The next year it became clear that all was not well in the Equities picture, and the price fell to 9½. When the report for March 1970 appeared the shareholders must have felt shell-shocked as they read that the enterprise had sustained a net loss of \$13,200,000, or \$5.17 per share—virtually wiping out their former slim equity. (This disastrous figure included a reserve of \$8,800,000 for future losses on investments.) Nonetheless the directors had bravely (?) declared an extra dividend of 5 cents right after the close of the fiscal year. But more trouble was in sight. The company's auditors refused to certify the financial statements for 1969–70, and the shares were suspended from trading on the American Stock Exchange. In the over-the-counter market the bid price dropped below \$2 per share.\*

Real Estate Investment Trust shares had typical price fluctuations after 1969. The low in 1970 was 16½, with a recovery to 26 5/6 in early 1971. The latest reported earnings were \$1.50 per share, and the stock was selling moderately above its 1970 book value of \$21.60. The issue may have been somewhat overpriced at its record high in 1968, but the shareholders have